

Document: POLICY	Title: FINAL PAY PROCESSING POLICY	
Document Code: FA-POL 02	Approved By: Jenny Constantino	Effective Date: June 01, 2021

I. POLICY STATEMENT AND OBJECTIVE

This policy aims to pay the accurate amount to an employee who resigns or gets discharged through the last day of work including paid time off and deducting accountabilities in compliance with tax and labor laws. To establish transparent workflow of final pay processing, the inclusion of remaining income and deductions, and to set expectations on the schedule of final paycheck releasing.

II. ELIGIBILITY

This applies to all separated employees: Exempt, Non-Exempt and Interns.

III. ROLES AND RESPONSIBILITIES

1. **Human Resources Department – Ensure** to submit completed clearance in the online tool for final pay computation.
2. **Finance Department –** Validates and processes the final pay checks/wire transfer of the separated employees. Handles Final Pay releasing and Quitclaim.

IV. GUIDELINES

1. DEADLINES AND DUE DATES:
 - i. All completed clearances forwarded by HR will be processed within 30 calendar days upon employee separation.
 - ii. Special accommodation to expedite the final pay computation and immediate release of final pay can be done with proper request and approval coming from HR department, re: RIF, Death and with Labor Case.
2. FINAL PAY INCLUSION:
 - i. Pro-rated 13th Month Pay shall be given based on employees' tenure for the current year.
 - ii. PTO Conversion for the unused Leave of regular voluntary separated employee. If terminated, no PTO conversion will be credited to employee's final pay.
 - iii. Attendance adjustments including but not limited to Night Differential, Absences, Tardy, Undertime, Overtime and Language Premium from employee's last payroll credited shall be included in the final pay.
 - iv. In cases wherein the separated employee has unpaid workdays rendered after the last payroll received, RealPage shall pay the remaining number of days (Basic Pay and Allowances).
 - v. Unpaid benefits before separation such as Wellness Reimbursement, Salary Differential from Maternity Benefits, MIP/PIP and Bonuses shall be part of the final pay computation.

- vi. Year – end tax annualization shall be done to determine if separated employee has a tax refund or tax due. If tax refund, over withheld tax will form part of the final pay. If deficit, total amount shall be deducted from the final pay.
- vii. Miscellaneous income and/or deduction like unreleased incentives and unreturned company accountabilities, unliquidated cash advances shall be included in the final pay computation.
- viii. Deduction of remaining loan balances from SSS and HDMF will be deducted from the employee's final pay. If the employee opts to settle the loan personally, a notarized affidavit shall be submitted or if deduction shall be transferred to the new employer, the employee shall provide a certification/confirmation from the new employer to waive the deduction on the clearance form. If the amount of Final Pay is not enough to cover the loan balance, available amount will be automatically offset to the loan. Any remaining balance will be communicated to the concerned separated employee.

3. FINAL PAY RELEASE

- i. Wire Transfer is scheduled once a week but for manual payment, check releasing is every Tuesday from 2PM to 5PM. If Tuesday falls on a holiday, check releasing will resume on the following week as scheduled.
- ii. The bank account of the separated employee shall be the recipient of the money transfer. Assigning other account numbers do not belong to employee is not allowed. In cases of an employee's death, the final pay due to the separated employee shall be paid to the deceased employee's beneficiary or personal representative.
- iii. Separated employee can authorize someone to claim the final paycheck and certificate of employment given that the separated employee has sent the signed quitclaim before the release and by providing the authorization letter or Special Power of Attorney (SPA) and valid IDs for both separated employee and the authorized representative.

V. VERSION HISTORY

Version Number	Version Date	Prepared By	Reviewed By:	Description of Change
2	5/13/24	Razil Zilmar/Rosalie Baisac	Ria Casipit	